

The average credit card balance of a college student is \$2,169, and nearly 56 percent of students have four or more credit cards, according to a 2004 survey by Sallie Mae (a major national handler of student loans). The trend among graduate students is much worse, with an average credit card balance of \$7,831 per student, a significant increase of 59 percent over 1998's average of debt of \$4,925. A significant percentage owe even more—15 percent owed more than \$15,000.

Credit card debt has become the norm, and students are graduating with student loans in addition to the heavy debt they have accumulated from credit cards. Your parents probably do not understand this trend since they graduated from college with much less debt. But their college experience was not as expensive. Costs to attend a four-year public institution more than tripled between 1985 and 2005, topping \$5,000 (including tuition and fees) a year. Four-year private institutions are considerably more expensive, coming close to \$20,000 a year. Your parents probably also had more personal savings in relation to the cost, there were more federal grants available to them, and high inflation existed to help their repayment.

Considering all these factors, it is not surprising that college students today have chosen to finance their college education more and more through the borrowing of money. The result has been a huge increase in college-related debt. In the 1990s, college students borrowed more than \$100 billion, as much as was borrowed in the 1960s, 1970s, and 1980s combined, according to the report "College Debt and the American Family." On top of the debt burden, there are other costs that you, as the student, must face.

In the cases where families bail out their children's debts, the cost is embarrassment and family tensions. If your family either chooses not to pay off your debts or doesn't have the

